

LoanServe — Late Payment and Default Charges

Document reference POL-LPP-005 · Effective 2025-04-01

Scope and Application

This policy sets out what is charged when an instalment is not paid on time and how an overdue account is handled. It applies to every retail loan product and to every borrower and co-borrower on the account. A charge under this policy is levied on the overdue amount and never on the entire outstanding. Charges under this policy are not capitalised into the principal.

Late Payment Charges

A late payment charge of 2 percent per month is levied on the overdue instalment amount. An instalment bounce charge of Rs 590 inclusive of taxes is levied for each failed auto debit. A grace period of five calendar days is allowed from the instalment due date before late payment charges apply.

Reporting and Recovery

Accounts overdue for more than 90 days are classified as non performing and reported to the credit bureau. Recovery communication is restricted to the hours between 8:00 AM and 7:00 PM.

Waivers

A one time waiver of the bounce charge may be granted once in a financial year at the discretion of the servicing team.

When a Charge Arises

A charge arises only after the grace period has run and only on the amount still unpaid at the end of it. Where an instalment is paid in part, the charge is computed on the shortfall alone. A bounce charge arises on each failed auto debit, whatever the reason for the failure. A bounce charge and a late payment charge may both apply to the same instalment.

Communication with the Borrower

The first reminder is sent on the day after the due date by message and by email. A borrower is contacted by telephone only after the grace period has ended. Contact is made only at the numbers recorded on the account and only between the permitted hours. A borrower who asks in writing to be contacted only in writing is contacted only in writing.

Escalation and Reporting

An account overdue for thirty days is referred to the servicing team for a repayment arrangement. An account overdue for sixty days is reviewed for restructuring before any recovery step is considered. The bureau record is updated monthly and reflects the number of days the account has been overdue. A borrower who clears the overdue amount in full has the account reported as regular from the following cycle.

Definitions

'Overdue instalment' means an instalment not received in full by the end of the grace period following its due date. 'Non performing account' means an account on which an instalment has stood overdue for more than ninety days.

Worked Example

On an overdue instalment of Rs 20,000 the late payment charge for one month is 2 percent, which is Rs 400, on top of any bounce charge already levied.

Exceptions and Discretion

A bounce charge is reversed in full where the failure was caused by an error on LoanServe's part or by the borrower's bank. Late payment charges are not levied during an approved moratorium period. The grace period is not extended on request. A waiver is recorded on the account file with the name of the officer who granted it.

Records and Evidence

Reminder messages, call records and any repayment arrangement are retained for five years. The computation of every charge levied is retained with the account statement. A borrower may ask for a statement showing every charge levied and it is provided free of charge once in a financial year.

Related Policies

The Late Payment and Default Charges should be read with: Grievance Redressal Policy, Top-Up Loan Rules, Moratorium and Restructuring Policy.

Regulatory and Compliance Notes

This policy follows the directions on penal charges, which require that such charges be reasonable, disclosed in advance and not compounded. Penal charges are shown separately on the statement and are never described as interest. Recovery is conducted through staff or agents who carry identification and who follow the code of conduct issued to them.

Review and Governance

Owned by the Collections team. Charge levels are reviewed each year and any increase is notified thirty days before it applies.